



Kusum Foundation

Registered under the Societies Registration Act, 1860

Independent Auditor's Report

For the year ended 31 March 2025

Katesar, Saran District, Bihar 841301, India

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Statutory audit under the Societies Registration Act, 1860
BIH/2008/0192847 (Societies Registration Act, 1860)

Empowering rural women, youth and families in Bihar since 2008.



M/s Verma Natarajan & Associates

Chartered Accountants

4th Floor, Exhibition Road, Patna, Bihar 800001

Firm Regn. No. 323148E

INDEPENDENT AUDITOR'S REPORT

To the Members of the Governing Body of **Kusum Foundation**

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of **Kusum Foundation** ('the Foundation'), which comprise the Balance Sheet as at 31 March 2025, the Income & Expenditure Account and the Receipts & Payments Account for the year then ended, and notes to the financial statements including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give a true and fair view in conformity with the accounting principles generally accepted in India: (a) in the case of the Balance Sheet, of the state of affairs of the Foundation as at 31 March 2025 (total funds of Rs. 37,80,000); (b) in the case of the Income & Expenditure Account, of the surplus of Rs. 3,60,000 for the year then ended; and (c) in the case of the Receipts & Payments Account, of its cash flows for the year then ended.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India. Our responsibilities under those Standards are further described in the Auditor's Responsibilities section of our report. We are independent of the Foundation in accordance with the Code of Ethics issued by the Institute, and we have fulfilled our other ethical responsibilities in accordance with that Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw attention to Note 3 to the financial statements, which describes that certain grants amounting to Rs. 2,40,000 are earmarked for specified programmes and carry conditions as to their utilisation. As explained to us, unspent balances of such grants are carried forward as earmarked funds and are required to be applied in subsequent periods in accordance with the terms of the respective grant agreements. Our opinion is not modified in respect of this matter.



Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

1. Recognition and utilisation of restricted grants

The Foundation receives institutional and CSR grants that are restricted to specified programmes. Recognition of grant income and the correct classification of unspent amounts as earmarked funds involve judgement and are significant to the financial statements. Our procedures included reading grant agreements, testing utilisation statements against underlying expenditure, reconciling programme-wise expenditure to the general ledger, and verifying that unspent balances were carried forward as earmarked funds.

2. Completeness of voluntary contributions and cash donations

A portion of the Foundation's income is received as individual donations, including amounts collected during field events. Completeness of such income is inherently a matter of audit attention. We evaluated the design and operation of controls over receipting, traced a sample of receipts to bank deposits, and performed analytical procedures comparing donation trends against prior periods and donor records.

3. Carrying value and existence of fixed assets

Fixed assets are deployed across multiple field locations. We physically verified a sample of assets, examined the fixed-asset register, tested additions with supporting invoices and re-computed depreciation charged for the year in accordance with the Foundation's accounting policy.



Information Other than the Financial Statements

The Governing Body is responsible for the other information. The other information comprises the Annual Report of the Foundation but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit, our responsibility is to read the other information and, in doing so, consider whether it is materially inconsistent with the financial statements or our knowledge obtained in the audit.

Responsibilities of Management and Those Charged with Governance

The Governing Body is responsible for the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Foundation in accordance with the accounting principles generally accepted in India. This responsibility also includes maintenance of adequate accounting records; safeguarding of the assets of the Foundation; prevention and detection of frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records.

In preparing the financial statements, the Governing Body is responsible for assessing the Foundation's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going-concern basis of accounting unless the Governing Body intends to liquidate the Foundation or to cease operations, or has no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Governing Body;
- Conclude on the appropriateness of the Governing Body's use of the going-concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists; and
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also determine materiality for the financial statements as a whole based on the total funds and the volume of programme expenditure, and apply it in evaluating the effect of identified misstatements, both individually and in aggregate, on the financial statements and in forming our opinion.



Report on Other Legal and Regulatory Requirements

We further report that:

- We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- In our opinion, proper books of account as required have been kept by the Foundation so far as it appears from our examination of those books;
- The Balance Sheet, the Income & Expenditure Account and the Receipts & Payments Account dealt with by this report are in agreement with the books of account;
- The Foundation has complied with the conditions of its registration under Sections 12A and 80G of the Income-tax Act, 1961, in all material respects; and
- On the basis of written representations received, nothing has come to our attention that causes us to believe that the Foundation has not complied, in all material respects, with the applicable statutory requirements.

For M/s Verma Natarajan & Associates

Chartered Accountants

Firm Regn. No. 323148E

CA Anand Verma (Partner)

Membership No. 072531

UDIN: 25072535BKAAVE6346

Place: Patna

Date: 12 August 2025



STATUTORY & REGULATORY COMPLIANCE

Annexure A to the Auditor's Report

The following is our report on the statutory and regulatory compliance of the Foundation for the year, referred to in our report of even date.

Compliance requirement	Status observed
Registration under Societies Registration Act, 1860	Valid - BIH/2008/0192847
Income-tax registration u/s 12A	Valid - AABTK1907KE2021
Approval u/s 80G for donors	Valid - AABTK1907KF2021
Permanent Account Number (PAN)	AABTK1907K
NGO Darpan (NITI Aayog)	BR/2016/0102938
Maintenance of books of account	Maintained and produced for audit
Tax deducted at source (TDS)	Deducted and deposited within due dates
Foreign Contribution (FCRA) registration	Not registered; no foreign contribution received
Utilisation of earmarked grants	Applied for the purposes for which received

The above is based on our examination of records and the information and explanations given to us, and is not intended to be an exhaustive statement of the Foundation's statutory obligations.



SUMMARY OF AUDITED BALANCES

Annexure B to the Auditor's Report

For ease of reference, the principal audited balances of the Foundation for the year are summarised below. These figures are extracted from the audited financial statements of even date.

Particulars	Amount (FY 2024-25)
Financial position & performance	
Total funds (corpus, general & earmarked)	Rs. 37,80,000
Fixed assets (net block)	Rs. 12,90,000
Investments (fixed deposits)	Rs. 14,00,000
Cash & bank balances	Rs. 8,40,000
Total income for the year	Rs. 60,40,000
Total expenditure for the year	Rs. 56,80,000
Surplus for the year	Rs. 3,60,000

This annexure forms part of our Independent Auditor's Report of even date on the financial statements of Kusum Foundation for the year ended 31 March 2025.



REPORT ON INTERNAL FINANCIAL CONTROLS

Annexure C to the Auditor's Report

Report on the internal financial controls over financial reporting of Kusum Foundation, referred to in our report of even date.

Opinion

We have audited the internal financial controls over financial reporting of the Foundation as at 31 March 2025 in conjunction with our audit of the financial statements for the year then ended. In our opinion, the Foundation has, in all material respects, an adequate internal financial controls system over financial reporting commensurate with the size of its operations, and such controls were operating effectively as at 31 March 2025, based on the criteria established by the Foundation considering the essential components of internal control.

Management's Responsibility for Internal Financial Controls

The Governing Body is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Foundation. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its activities, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information.

Auditor's Responsibility

Our responsibility is to express an opinion on the Foundation's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. Our audit involved performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Inherent Limitations of Internal Financial Controls

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For M/s Verma Natarajan & Associates

Chartered Accountants | Firm Regn. No. 323148E

CA Anand Verma (Partner)

Membership No. 072531 | UDIN: 25072535BKAAVE6346

Place: Patna Date: 12 August 2025